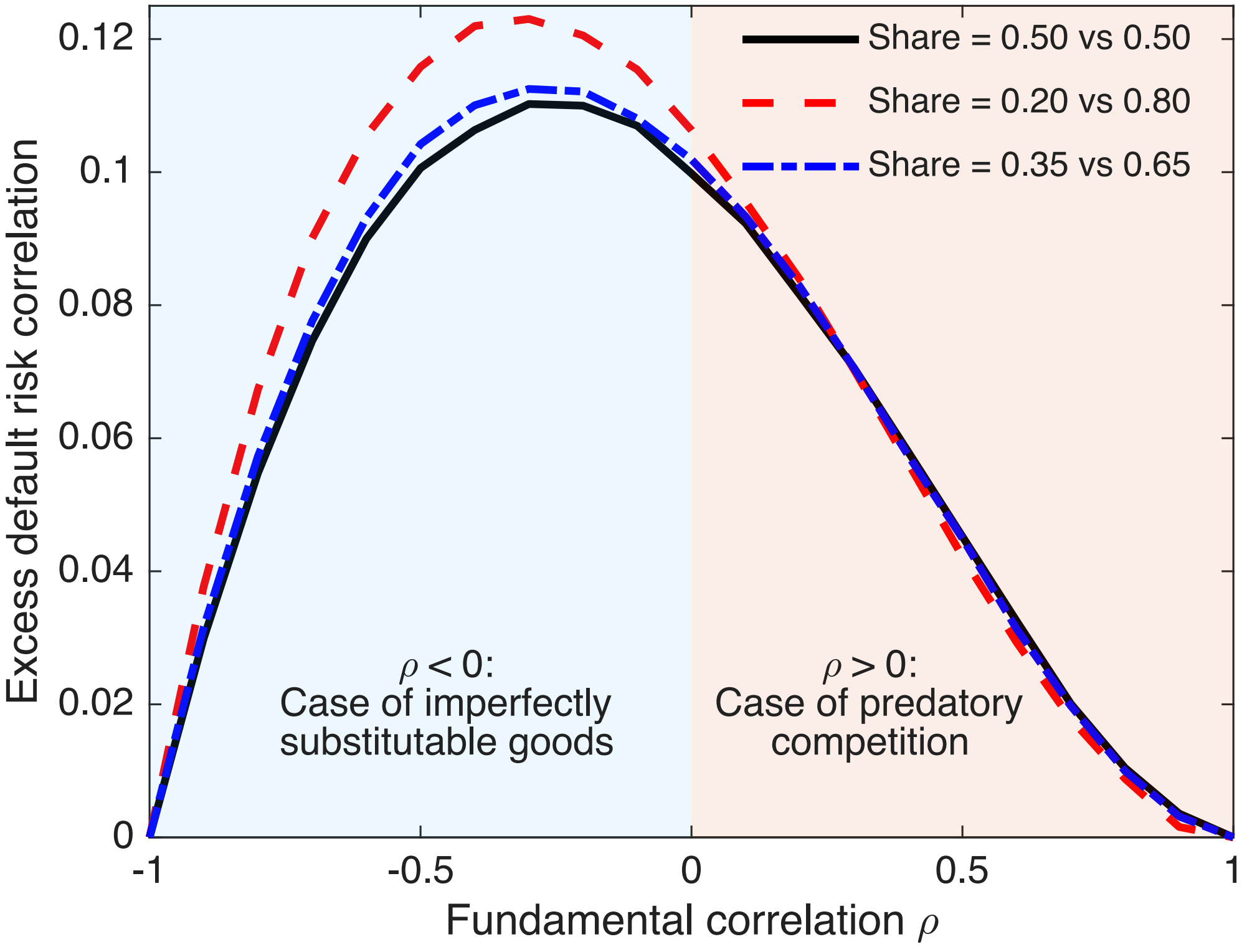
Share = 0.50 vs 0.50
Share = 0.20 vs 0.80
Share = 0.35 vs 0.65
Excess default risk correlation
0.12
0.1
0.08
0.06
0.04
0.02
0
-1
-0.5
0
0.5
1
Fundamental correlation ρ
ρ < 0:
Case of imperfectly
substitutable goods
ρ > 0:
Case of predatory
competition